

funds. They just have to sell their brand, solutions and products. So, it is easier for newer players to penetrate. Secondly, the bullish capital market and the seamless experience of investing through MFs is also giving a lot of comfort to investors. For the new players, increasing per capita income is also good news. Given the fact that we have only around 40 million unique investors, existing players will continue to expand the business, but the new players will also expand the market. The MF industry is poised to be one of the fastest-growing sectors.

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But how can new players differentiate themselves from the older and larger players? Would it be through product innovation or a better and more effective distribution model?

The driver of growth would be their existing customer base [in other businesses] who have not invested in MFs and so can become potential customers. That is how the new players who have an existing network have to think—how to sell either a solutions product or even a me-too product. There will be opportunities on the back of solutions-based products and some of the new players could look at that aspect for long-term growth. It will be slow-moving asset

growth. Further, creating distribution strength through customer engagement could potentially be a large area of focus.

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Can some of the new players who have a huge technology advantage create some kind of disruption in the MF space? Disruption can come only through product differentiation, for instance

For instance, they can keep the costs low due to their existing customer base.

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What's your view on the way regulatory changes have happened over the years in the MF space?

The biggest move has been the decision to create a separate corpus to create awareness about MFs and increase financial literacy in the country. The

in rules related to disclosures, and product classification, the regulator has made it very easy for the investor to understand MF products. Allowing certain incentives for [moving beyond the top cities] was another significant move by the regulator. Today, almost 50% of the customers are from beyond the Top 30 cities.

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Where do you see the industry AUM over the next four to five years? In terms of unique investors, the industry still has only around 40 million investors...

We will be somewhere around ₹65-70 lakh crore of AUM. The industry may add around ₹2-2.5 lakh crore [of AUM] every year and if you add the markets gains, we may reach that number. In terms of the number of investors, we could see around 100 million investors. But we need to look at this number from a household perspective. For instance, in a family of four, everyone will need a mobile phone but not everyone needs to have an MF product. The head of the family may be investing for the entire family. I believe that ultimately around 150 million households will have MF investments, which means that around 450-600 million people have an exposure in MFs. **BT**

“MF has become an integral part of the financial industry. The fact that the industry is growing at a strong rate with the AUM crossing ₹50 lakh crore shows it has got acceptance from the public at large”

ETFs. Given the fact that all existing players, including us, are well-equipped with technology and products, it is difficult to create a differentiation. One thing that the new players can do is change the buying behaviour of people through some kind of distribution focus as they would have access to people with whom the existing players would not have readily available access.

campaign ‘Mutual Funds Sahi Hai’ has been a game changer and has changed the entire narrative around MFs. Earlier, MFs were looked upon as a risky product—which it still is since it is subject to market risks—but the narrative has changed as people look at MFs for long-term investment. One has to thank both Sebi and AMFI for this initiative. Secondly, due to various changes

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